MONTHLY NEWSLETTER

November- 2025

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Monthly Commentary

Indian markets extended their gains in October, supported by a mix of strong domestic data and improving global sentiment. Record-breaking **Diwali sales crossing ₹6 lakh crore**, progress on the **US–China trade deal**, and optimism around a possible **India–US trade agreement** all contributed to a positive mood.

The **Sensex gained 4.6%** to close near the **84,000 mark**, while the **Nifty held firm above 25,000** — both touching new lifetime highs during the month. FIIs turned net buyers after several months of selling, with **net inflows of ₹14,600 crore**.

The rally was broad-based, with the **Nifty 500 up 4.3%, midcaps rising 4.8%**, and **small caps gaining 3.7%.** Among sectors, **Realty, Telecom, Oil & Gas, Banking, Financial Services, Consumer Durables, and IT** led the gains. Meanwhile, **Automobiles, Infrastructure, Power, FMCG, and Capital Goods** lagged behind.

Globally, equity markets remained firm. The **NASDAQ rose 4.8%** and the **S&P 500 gained 2.3%,** led by strong earnings from US technology majors. In Asia, **Chinese equities continued their rebound,** while Japan's **Nikkei surged 15%** on the back of fiscal stimulus expectations. European markets were mixed — **CAC and FTSE moved up**, while **DAX** stayed flat.

In the **debt market**, the **RBI kept policy rates unchanged** in its October MPC meeting, even as the **US Federal Reserve cut rates by 25 bps**. The RBI's cautious stance signals its intent to preserve room for future rate cuts if growth moderates. **Bond yields were largely stable**, softening slightly at the long end and firming marginally at the short end. For conservative investors, **short-duration debt funds** remain a sensible choice in the current rate environment.

In **commodities, gold rose 5%** and **silver gained 4.8%** during the month. Central banks across the world continued to increase their gold reserves, keeping prices supported. However, investors should approach gold with a long-term view — prices have nearly doubled in the past two years and may consolidate in the near term.

After a strong festive run, the market now appears to be in a **consolidation phase** — with profit booking at higher levels and buying support on declines. Over the next few months, attention will turn to key triggers like the **RBI's December policy meeting, progress on India–US trade discussions**, the **Union Budget 2026**, and upcoming **Q3 corporate results.**

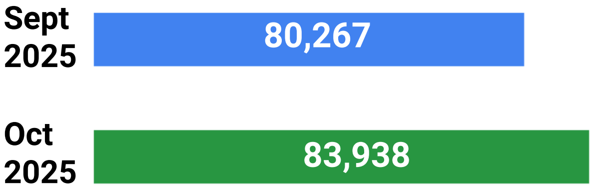
While near-term optimism remains, valuations in certain **mid- and small-cap segments** have stretched meaningfully. Investors should continue to stay disciplined, review asset allocation, and maintain a **long-term horizon** rather than chasing short-term momentum.

Market Round-Up

Domestic Equity Market: Market rallies on global and domestic cues

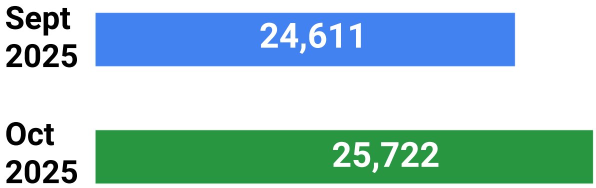
Sensex

4.6% MOM



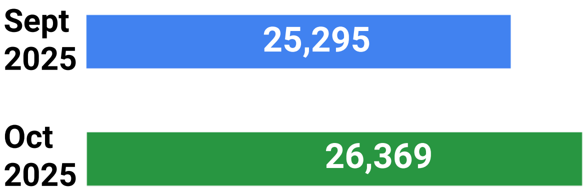
Nifty

4.5% MOM



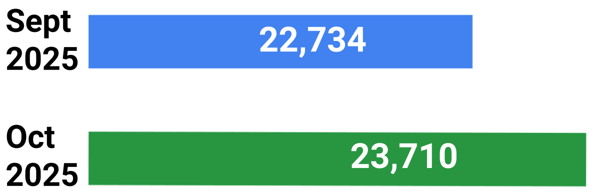
Nifty 100 (Large Cap)

4.2% MOM



Nifty 500 (Broad Market)

4.3% MOM

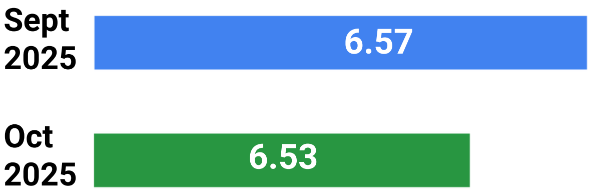


*Index values are closing prices on the last trading sessions of the respective months

Domestic Debt Market: Yields remain flattish

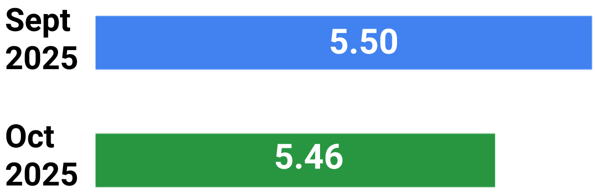
10 year G-Sec Yield* (%)

- 4 bps MOM



364 Day T-Bill Yield* (%)

- 2 bps MOM

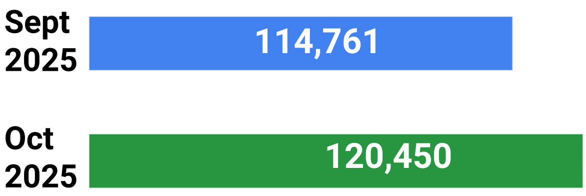


*Yields as on the last auction days of the respective months. Source: RBI

Commodities Market: Precious metals make new highs

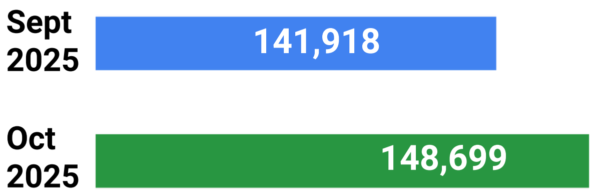
Gold (INR per 10 grams)

▲ 5.0% MOM



Silver (INR per kg)

▲ 4.8 MOM

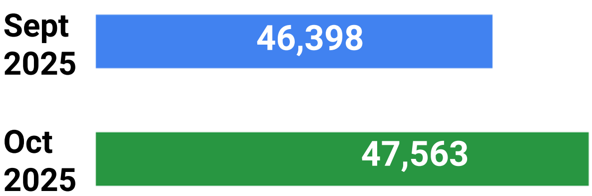


*Commodity prices are based MCX commodity closing spot prices on the last trading sessions

Global Markets: US market strong, China up

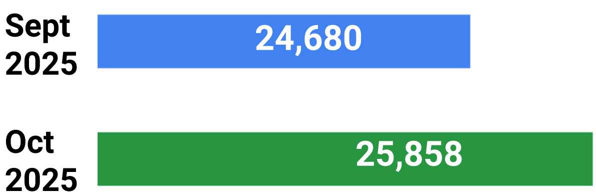
Dow Jones

▲ 2.5% MOM



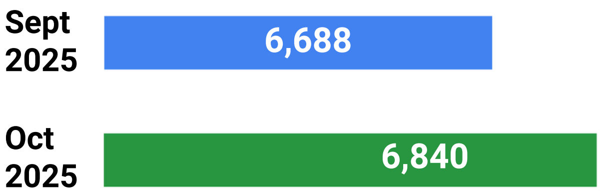
Nasdaq 100

▲ 4.8% MOM



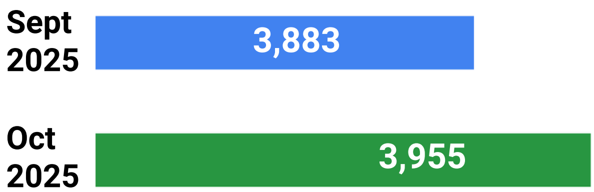
S&P 500

▲ 2.3% MOM



Shanghai Composite

▲ 1.9% MOM



*Index values are closing prices on the last trading sessions of the respective months

Featured Insight: The New Face of India's Retail Investor – From Followers to Market Movers

The Indian equity market is quietly undergoing a structural transformation — one driven not by foreign capital, but by the steady conviction of domestic retail investors. Once viewed as fringe participants reacting to market cycles, retail investors have now become the most reliable source of liquidity and stability in the system.

Domestic Flows Now Outweigh Foreign Influence

For decades, Indian equities were known for being "FII-driven." But that equation has decisively changed.
In FY 2024–25, **FIIs withdrew nearly ₹2.1 lakh crore** from Indian equities, yet the market absorbed the shock thanks to **mutual fund inflows of ₹2.6 lakh crore** during the same period.
Monthly SIP inflows crossed a record **₹22,600 crore in September 2025,** up from just ₹8,000 crore five years ago — a 180 % surge.

Domestic Institutional Investors (DIIs), powered largely by mutual funds, now contribute more than **55 % of total market turnover** in several large-cap counters, compared with less than 35 % a decade ago.

This shift means that day-to-day volatility caused by foreign flows has reduced significantly. Markets that once moved sharply on FII selling now see domestic money cushioning every dip.

The Retail Base Is Expanding Fast

The participation boom is not just in cities — it's nationwide. **Individual investors account for 56 % of mutual-fund folios,** with more than **18 crore demat accounts** now active across India (up from 4 crore in 2019).
The share of retail and HNI investors in NSE's total equity turnover has risen from **33 % in FY 2018–19 to nearly 47 % in FY 2024–25.**
SIP assets under management crossed **₹10 lakh crore** for the first time this year — a landmark that underscores the long-term commitment of households to equities.

What's notable is the quality of participation. The average holding period of SIP investors has extended to **over 6 years,** indicating growing financial maturity and comfort with market cycles.

Technology, Awareness, and Accessibility

Fintech platforms, direct-to-investor mutual-fund apps, and AMFI's investor education campaigns have democratized market access. Over **70 % of new MF accounts in FY 2025** were opened digitally, with Tier II and Tier III towns contributing nearly **45 % of total new investors.**

Social media and investor-education content have also reshaped mindsets. Investors today track performance metrics like CAGR, volatility, and drawdowns — terms once limited to analysts — showing a sharp leap in financial literacy.

Structural Implications for the Market

Reduced Dependence on FIIs: Domestic liquidity has made India's market more resilient to global shocks, currency volatility, and policy noise.
Greater Market Depth: Broader participation across market caps has improved liquidity in mid- and small-cap segments, narrowing volatility gaps.
Consistent Demand for Equity: Monthly SIP inflows provide a near-predictable demand floor — analysts estimate SIP inflows now equal **70 % of the average monthly FII flow** from 2015–2019.
Shift in Market Behaviour: Retail investors' long-term approach has made sharp panic sell-offs less frequent and post-correction recoveries faster.

India's Market Story Is Becoming Domestic-Led

The Nifty's 10-year CAGR of **12.4 %** and mutual-fund industry AUM of **₹56 lakh crore (as of Oct 2025)** reflect a system increasingly driven by local savings. Equity AUM now equals about 18 % of India's GDP, up from just 8 % in 2015.

This domestic depth has started drawing global recognition — India remains among the top three markets worldwide for retail participation growth, alongside the US and China.

The Takeaway

The Indian retail investor is no longer the market's follower; they are now its foundation. With consistent SIP flows, wider financial awareness, and digital accessibility, retail investors have transformed India's capital markets into a self-sustaining ecosystem.

The next decade of India's equity story may not be written in global boardrooms — but by **millions of households investing a few thousand rupees every month,** quietly but powerfully shaping the market's future.

Explainer: Debt Funds Demystified – Why Fixed Income Still Deserves a Place in Your Portfolio

Equities may grab the headlines, but in any well-built portfolio, **debt funds remain the anchor of stability.** As investors chase returns from stocks or gold, it's easy to forget the quiet power of fixed income — steady returns, lower volatility, and liquidity when you need it most.

With the RBI holding rates steady and inflation gradually easing, it's time to re-examine why **debt mutual funds deserve a clear role in every investor's asset mix.**

Understanding Debt Funds

Debt funds invest primarily in fixed-income securities — government bonds, treasury bills, corporate debentures, and money-market instruments.
Unlike FDs that lock your money at a fixed rate, debt funds offer **market-linked returns** that move with interest-rate cycles. This makes them dynamic tools for both **capital preservation and income generation.**

The Size and Structure of India's Debt Market

- As of October 2025, the Indian mutual fund industry's total AUM stands at ₹56 lakh crore, with ₹14.8 lakh crore (26%) parked in debt-oriented schemes.
- Within debt categories, liquid funds (₹4.2 lakh crore) and short-duration funds (₹2.9 lakh crore) lead investor preference.
- The 10-year G-Sec yield has hovered around 7.15–7.25% for most of FY2025, while short-term yields (1–3 years) are in the 6.8–7.0% range — creating an attractive curve for laddered investing.

These figures highlight how debt funds continue to serve as both **a parking avenue and a strategic allocation tool** in changing rate environments.

Performance Snapshot – Stability Amid Volatility

While equity indices have seen 10–15% swings this year, most **short- to medium-duration debt funds** delivered **annualized returns between 6.5–7.3%** with far lower volatility.

Fund Category	1Y Avg Return (Oct 2025)	3Y CAGR	Typical Volatility (SD)
Liquid Funds	6.70%	5.40%	Very Low
Short Duration	7.20%	6.00%	Low
Corporate Bond	7.50%	6.80%	Low–Moderate
Dynamic Bond	8.10%	6.90%	Moderate
Long Duration	8.60%	5.90%	High

(Source: AMFI, Value Research, Oct 2025)

These numbers illustrate why debt funds are invaluable for risk-adjusted portfolio performance — they provide consistent returns without the emotional rollercoaster of equities.

The Role of Interest Rate Cycles

Debt fund performance moves inversely to interest rates.

- When rates fall, bond prices rise — benefiting long-duration funds.
- When rates rise, short-term and floating-rate funds hold up better.

The current environment, with the **RBI maintaining a neutral stance** and inflation around **4.8%**, suggests that **shorter-duration and target-maturity funds** are likely to perform steadily in the near term.

Investors looking to lock in yields for the medium term can explore **roll-down strategies** or **AAA-rated corporate bond funds**, where portfolio yields are already near 7.5–8%.

Tax Efficiency – Post-2023 Reality

Since April 2023, all non-equity mutual funds are taxed at **slab rates** without indexation. While this initially reduced post-tax appeal versus earlier years, debt funds **still hold an edge:**

- No TDS for residents.
- Seamless liquidity (T+1 redemption).
- Transparency, diversification, and professional management.

For investors in higher tax brackets, **debt funds remain more flexible** than traditional FDs, particularly when managed as part of a multi-asset portfolio.

Why You Still Need Debt

A balanced portfolio is not built on returns alone — it's built on resilience.

Debt funds:

- Cushion your equity exposure during market downturns.
- Provide liquidity for short-term or emergency needs.
- Generate stable, predictable income for retirees or conservative investors.

An ideal equity-to-debt mix depends on your goals and time horizon, but even aggressive portfolios benefit from at least **15–25% debt allocation** to manage volatility and provide dry powder for future opportunities.

The Takeaway

Debt funds are the quiet performers of your portfolio — often unnoticed, but indispensable.

They smooth volatility, anchor stability, and help you stay invested through market cycles. In an era where global uncertainties remain high and rate directions are finely balanced, **fixed income remains your portfolio's seatbelt — not a drag, but protection that keeps you moving forward safely.**

A strong portfolio grows with risk — but survives because of balance.

Mutual Fund Category Returns Monitor - Equity Trailing Returns

Category Name	Returns as on - 03-11-2025 in %									
	1 Week	1 Mon	3 Mon	6 Mon	YTD	1 Yr	3 Yrs	5 Yrs	10 Yrs	Launch
Equity: Thematic-International	0.9	2.03	6.96	20.49	18.86	20.56	18.54	11.84	11.11	10.63
Equity: Thematic-Transportation	-0.62	0.53	11.65	23.22	16.62	14.03	25.09	27.06	12.93	20.04
Equity: Sectoral-Banking and Financial Services	-0.34	4.13	5.88	8.57	14.36	12.39	16.7	19.74	13.75	15.24
Equity: Thematic-Innovation	0.01	2.86	5.09	14.38	2.94	5.82	20.05	23.42	0.0	15.59
Equity: Thematic-Energy	1.96	3.33	5.29	9.42	10.95	5.64	20.41	25.66	18.91	10.32
Equity: Large Cap	-0.4	3.09	4.5	6.76	6.6	5.37	14.76	18.04	12.69	13.59
Equity: Large and Mid Cap	0.15	3.25	4.65	10.23	4.75	5.18	18.41	22.38	14.86	14.46
Equity: Mid Cap	0.44	3.24	4.99	13.08	3.11	4.83	21.18	25.6	16.33	18.37
Equity: Multi Cap	0.17	3.07	4.64	10.83	3.7	4.54	19.18	23.74	15.13	15.46
Equity: Focused	-0.13	3.14	4.53	8.81	5.12	4.38	15.96	19.66	13.84	15.12
Equity: Flexi Cap	-0.22	2.85	4.51	9.25	3.8	3.92	16.42	20.15	14.19	14.35
Equity: Contra	-0.06	3.37	3.59	8.42	4.56	3.81	20.22	25.13	16.26	15.46
Equity: Thematic-Manufacturing	0.58	1.78	5.52	13.97	4.76	3.71	22.59	26.58	15.26	11.29
Equity: Thematic-Others	0.02	2.79	4.24	9.34	4.88	3.54	18.05	23.35	14.12	11.47
Equity: Thematic-PSU	2.32	3.8	8.96	9.13	9.32	3.52	28.9	32.9	15.98	15.18

Category Name	Returns as on - 03-11-2025 in %									
	1 Week	1 Mon	3 Mon	6 Mon	YTD	1 Yr	3 Yrs	5 Yrs	10 Yrs	Launch
Equity: ELSS	-0.2	2.85	4.04	8.36	3.47	3.23	16.72	20.29	14.14	14.78
Equity: Thematic-Special-Opportunities	0.18	3.23	5.61	13.16	2.78	2.96	18.87	21.0	0.0	7.19
Equity: Thematic-ESG	-0.54	2.99	4.1	6.86	4.0	2.84	14.5	16.55	12.63	14.71
Equity: Thematic-Business-Cycle	-0.02	2.89	4.17	9.77	2.56	2.65	18.19	24.62	13.77	13.12
Equity: Value	0.24	3.14	4.85	8.98	4.12	2.61	19.41	23.31	14.72	15.58
Equity: Thematic-Consumption	-0.7	1.8	4.27	8.55	3.17	2.45	15.68	20.88	14.77	12.21
Equity: Dividend Yield	0.13	3.09	4.8	8.08	4.77	2.25	19.53	23.55	14.7	14.73
Equity: Thematic-Quantitative	-0.11	2.51	4.52	7.71	3.22	1.41	17.13	18.24	14.43	10.71
Equity: Sectoral-Pharma and Healthcare	0.67	3.24	0.98	7.23	-1.05	1.39	21.6	18.04	11.66	15.75
Equity: Thematic-MNC	0.02	1.99	4.0	10.7	2.09	0.76	12.27	15.63	9.78	13.19
Equity: Sectoral-Infrastructure	0.7	2.58	4.51	11.03	2.15	0.25	24.12	30.94	16.0	12.99
Equity: Sectoral-Technology	-0.11	4.61	3.52	9.74	-5.64	0.08	16.3	19.23	16.66	11.09
Equity: Thematic-Multi-Sector	0.89	3.71	6.64	3.0	-20.04	0.0	0.0	0.0	0.0	-19.51
Equity: Small Cap	0.84	2.88	3.6	14.05	-0.56	-0.44	20.43	28.47	17.17	17.69
Equity: Sectoral-FMCG	-0.53	2.19	1.88	1.45	1.39	-3.62	8.0	15.8	11.65	15.69
Equity: Thematic-Active-Momentum	-0.01	2.47	3.74	9.22	-13.34	-6.88	0.0	0.0	0.0	7.78

Returns Range:

Returns < 100 to >= -5 | Returns < -5 to >= -8 | Returns < -8 to >= -10 | Returns < -10 to >= -15 | Returns < -15 to >= -20 | Returns < -20
Returns > 0 to <= 5 | Returns > 5 to <= 8 | Returns > 8 to <= 10 | Returns > 10 to <= 15 | Returns > 15 to <= 20 | Returns > 20

Mutual Fund Category Returns Monitor - Hybrid Trailing Returns

Category Name	Returns as on - 03-11-2025 in %									
	1 Week	1 Mon	3 Mon	6 Mon	YTD	1 Yr	3 Yrs	5 Yrs	10 Yrs	Launch
Hybrid: Multi Asset Allocation	0.0	2.37	6.37	10.5	12.77	11.48	17.57	18.64	13.03	13.72
Hybrid: Equity Savings	-0.03	1.21	2.44	4.65	5.66	6.48	9.96	10.42	8.06	7.8
Hybrid: Arbitrage	0.09	0.46	1.18	2.65	5.12	6.31	6.84	5.46	5.67	5.51
Hybrid: Conservative	0.05	0.9	1.61	3.13	5.58	6.09	9.1	9.28	7.7	8.67
Hybrid: Balanced	-0.14	1.61	3.09	5.75	5.38	5.97	0.0	0.0	0.0	13.72
Hybrid: Aggressive	-0.13	2.21	3.51	7.08	5.57	5.43	14.62	17.37	12.04	13.04
Hybrid: Dynamic Asset Allocation	-0.09	2.18	3.12	5.56	5.2	5.21	11.98	12.47	9.93	10.34

Returns Range:

Returns < 100 to >= -5 Returns < -5 to >= -8 Returns < -8 to >= -10 Returns < -10 to >= -15 Returns < -15 to >= -20 Returns < -20
Returns > 0 to <= 5 Returns > 5 to <= 8 Returns > 8 to <= 10 Returns > 10 to <= 15 Returns > 15 to <= 20 Returns > 20

Mutual Fund Category Returns Monitor - Fund-of-Funds Trailing Returns

Category Name	Returns as on - 03-11-2025 in %									
	1 Week	1 Mon	3 Mon	6 Mon	YTD	1 Yr	3 Yrs	5 Yrs	10 Yrs	Launch
Fund of Funds-Domestic-Gold and Silver	0.57	3.83	25.63	37.31	61.17	49.78	33.03	0.0	0.0	28.05
Fund of Funds-Domestic-Silver	2.88	1.63	33.64	54.06	68.26	49.67	34.72	0.0	0.0	35.16
Fund of Funds-Domestic-Gold	0.05	2.97	21.98	26.89	55.26	48.84	31.95	17.2	14.93	21.4
Fund of Funds-Overseas	1.45	2.05	11.65	29.56	27.23	30.01	24.77	14.05	10.63	12.51
Fund of Funds-Domestic-Hybrid	0.08	2.5	3.99	7.87	10.0	9.91	15.46	15.82	11.66	11.77
Fund of Funds-Domestic-Debt	-0.09	1.13	2.4	3.79	7.34	7.54	10.87	13.72	7.3	8.38
Fund of Funds-Domestic-Equity	0.05	2.65	5.71	10.37	8.01	6.63	18.21	20.9	14.79	10.55
Fund of Funds-Income Plus Arbitrage	0.07	0.56	1.24	2.83	5.38	6.4	9.25	8.25	7.94	4.81

Returns Range:

Returns < 100 to >= -5 Returns < -5 to >= -8 Returns < -8 to >= -10 Returns < -10 to >= -15 Returns < -15 to >= -20 Returns < -20
Returns > 0 to <= 5 Returns > 5 to <= 8 Returns > 8 to <= 10 Returns > 10 to <= 15 Returns > 15 to <= 20 Returns > 20